



ISE549 Management of Innovation and Technology

Corporate Entrepreneurship & Intrapreneurs

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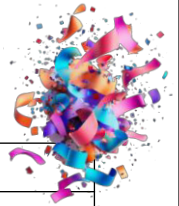
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Examples of famous intrapreneurship:

Innovation	Company	Intrapreneur Context
Post-it Notes	3M	Developed by employees inside 3M
Gmail	Google	Developed under Google's innovation culture
PlayStation	Sony	Initially proposed internally by an engineer
IBM PC	IBM	Internal venture team
Macintosh	Apple	Semi-autonomous internal team



1085

Intrapreneur and intrapreneurship

- **Intrapreneur:** An employee of a company that, together with other employees, initiates and develops an entrepreneurial approach, having a certain degree of entrepreneurial and managerial autonomy, being rewarded according to the results obtained (Ionescu and Bolcas, 2019)
- **Intrapreneurship:** A process that goes on inside an existing firm, regardless of its size, and leads not only to new business ventures but also to other innovative activities and orientations such as development of new products, services, technologies, administrative techniques, strategies, and competitive postures (Antoncic and Hisrich, 2001, p.498)
- **Intrapreneurship:** *Entrepreneurship in organisations*



1086

What is Intrapreneurship?

Intrapreneurship

The purposeful and supported attempt to develop more entrepreneurial behaviour within a company to improve market performance. Intrapreneurship encompasses:

- activities that receive organisational sanction and resources to achieve innovative outcomes;
- the creation of an entrepreneurial spirit within an organisation, allowing an innovation culture to prosper;
- The generation, development and implementation of new ideas or behaviours;
- a focus on re-energising and enhancing a firm's ability to acquire innovative skills and capabilities; and
- the creation, by intrapreneurial individuals within an organisation, of:
 - strategic renewal,
 - innovation (introducing something new to the marketplace), and
 - corporate venturing (creation of new business organisations).

Source: Kurakto and Hodgetts (2004).

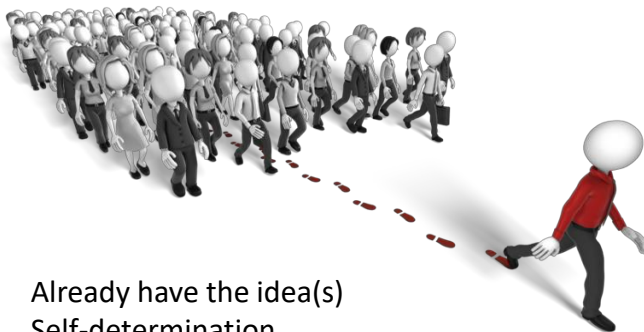


Source: T. Mazzarol and S. Reboud, Entrepreneurship and Innovation – Theory, Practice and Concepts, 4th Edition, Springer, 2020.

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Starting a company Vs Joining a company

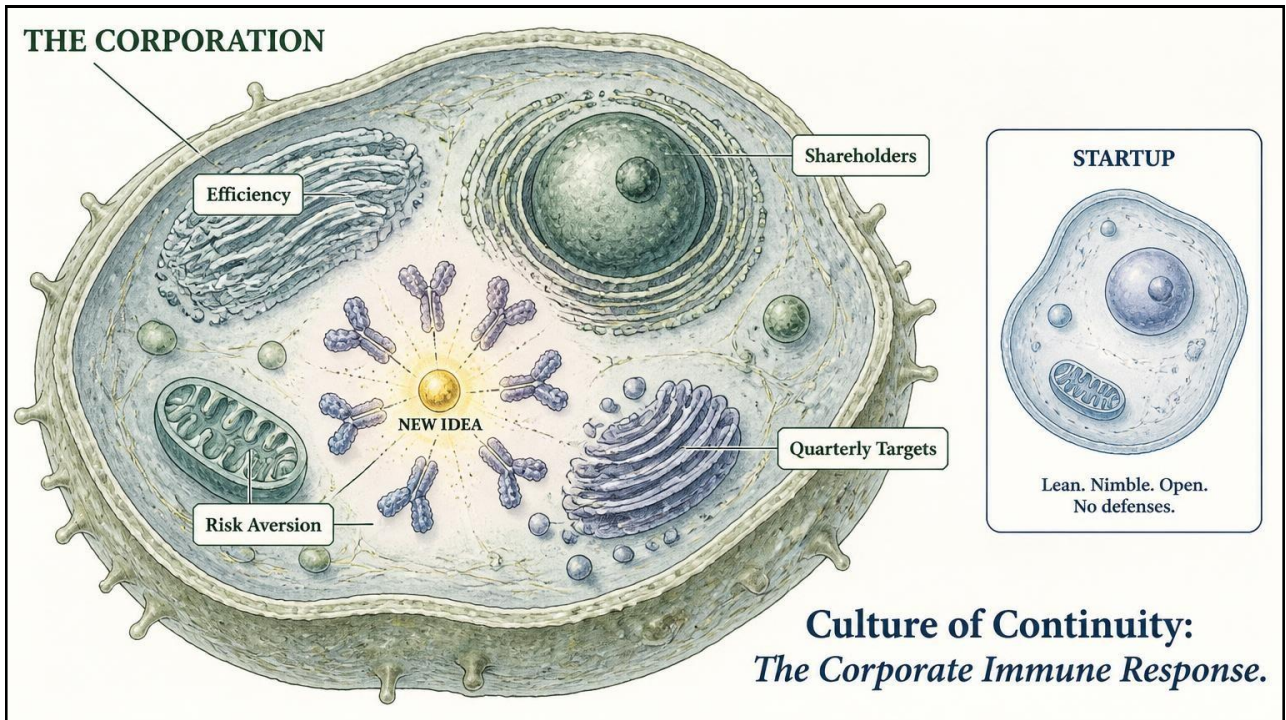


Already have the idea(s)
 Self-determination
 Put together his/her own team
 Secured funding
 Form partnerships based on the leader's network
 Company starting from scratch
 ...

Need to study and assess what the employer possesses
 Receive directives from the employer
 Work with existing team(s)
 Funding from employer and/or partners
 Form partnerships based on the employer's network
 Company culture, structure & processes already existed
 ...



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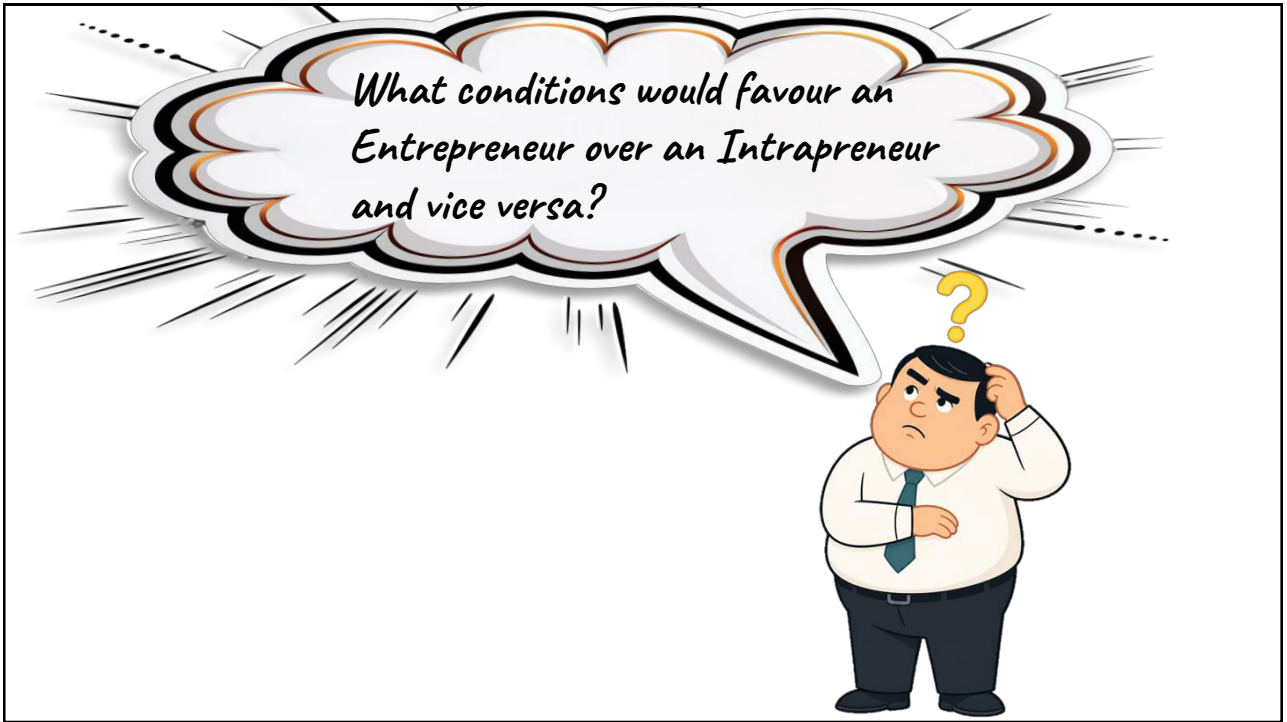
Intrapreneur vs. Entrepreneur

	Entrepreneur	Intrapreneur
Common	Take new ideas and develop solid, functioning, and profitable business	
	Want to change status quo to ensure ongoing improvement and success (Simith et al., 2016)	
	Share similar intrinsic motivators based around interest, risk, passion, control, enjoyment of work, empowerment and the desire to add value (Simith et al., 2016)	
	Need business planning	
Differences	Innovate for themselves	Innovate on behalf of an established organisation
	Mostly own much of the business	Have no equity or at most a small percentage
	Don't have much support	Receive support from the organisation
	Micro-enterprise and small firms	Medium- and large-sized organisation
	Higher risks and uncertain incomes	Lower risks and lower but steady incomes

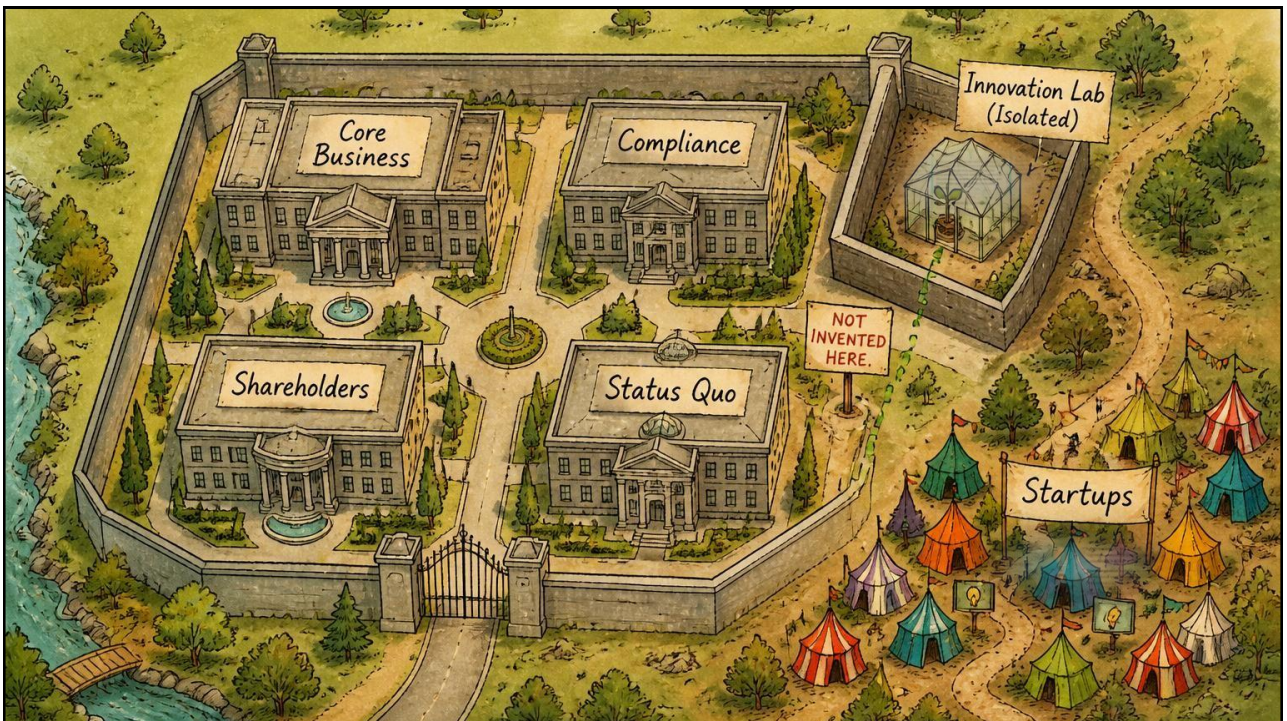


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Innovating as a Startup

The Power of One Idea

No one starts a business without a great idea — born from frustration, insight, or observation of an emerging market. The best entrepreneurs have **exactly one idea** and place everything behind it: all mental energy, all resources, all hopes. This singular focus lets them ignore distractions without guilt.

Building from scratch means no existing infrastructure or revenue streams to protect. Disruption is the goal, not the threat.



Growing Challenges for Entrepreneurs

Outrageous expectations are a mounting burden. In the startup world, anything short of a billion-dollar "unicorn" raises eyebrows — making it exceptionally hard to get good ideas funded when investors demand a "nine zero" outcome.

Talent acquisition is improving, however. The COVID-driven rethink about work means good talent is easier to obtain, as professionals leave corporate jobs to join or found startups.

The Ultimate Risk

The entrepreneur bets everything — themselves, their team, their idea. If the market shifts or a competitor wins, they start over with no safety net. The downside is severe; the upside can be extraordinary.

1096

Innovating Inside a Corporation

The corporate innovator — or **intrapreneur** — can be just as creative as any founder. They simply face a far more complex set of obstacles simultaneously.

Competing Priorities & Portfolio Management

Multiple people believe their idea deserves funding, creating fierce competition for a limited innovation budget. A truly innovative company must maintain a regularly evolving portfolio with rigorous prioritisation — because a great idea that can't get resourced has no value.

Threat to Existing Revenue Streams

Internal ideas can threaten existing products, challenge the core business model, or exceed the company's capability to execute. Corporate innovators must always confront the reality that the company is **currently making money** — and brilliant new ideas can threaten those profit streams.

Risk-Averse Culture

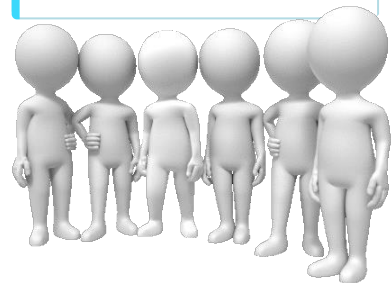
Decades of outsourcing, rightsizing, and Six Sigma have trained management to **dislike change and uncertainty**. Failure in a funded project is judged harshly — a cultural constraint that startups simply don't face.

Funding: Available but Hard to Acquire

Most large companies can afford innovation, yet funding remains elusive. Annual budget cycles force unplanned projects to wait or "steal" funds. Cost-saving activities are always preferred, and without reliable frameworks, estimating project costs is guesswork.

Development & Launch Complexity

Even after validating an idea, the innovator typically does **not own** the development or marketing resources needed. They must negotiate for limited capacity across separate departments, competing against many other priorities.



1097

When *Entrepreneurs* have a Clear Advantage

Condition	Why Entrepreneur Wins
Disruptive innovation threatening incumbents	Established firms often protect existing products and revenue. Entrepreneurs can aggressively pursue disruptive ideas without internal resistance.
Rapid experimentation and pivoting	Entrepreneurs can change direction overnight without seeking management approval.
Serving niche or unproven markets	Large firms may see the market as too small. Entrepreneurs are happy to pursue niche opportunities.
Radically different business models	New ventures have no legacy systems, processes, or culture to defend.
Founder-driven vision	A passionate founder can persist against conventional wisdom and investor skepticism.
High-risk opportunities	Entrepreneurs can accept risks that corporate executives are unwilling to take because their careers are at stake.
Strong customer intimacy required	Startups often maintain direct contact with early customers and learn faster.
Industries undergoing major disruption	Technological shifts often create opportunities for entrepreneurs before incumbents react.

1099

When *Intrapreneurs* have a Clear Advantage

Condition	Why Intrapreneur Wins
Requires huge capital investment	Large firms can fund billion-dollar projects that startups cannot afford.
Long R&D time horizons	Corporations can sustain research for many years before seeing returns.
Needs sophisticated infrastructure	Existing factories, logistics, laboratories, or data centers already exist.
Highly regulated industries	Large organizations possess legal, compliance and regulatory expertise.
Requires access to large customer base	Corporations have established distribution channels and brands.
Complex ecosystem coordination	Large firms can mobilize suppliers, partners, and internal functions.
Global scaling required immediately	Large enterprises can leverage international operations from day one.
Need for specialized talent pools	Corporations often have teams of world-class experts available internally.

1100

“Entrepreneurs excel when uncertainty is high and resources are scarce; intrapreneurs excel when opportunity is proven but scale, expertise, and investment are critical.”

If the challenge mainly requires...	The odds favour
Speed, flexibility, risk-taking	Entrepreneur
Resources, scale, infrastructure	Intrapreneur
Challenging industry assumptions	Entrepreneur
Long-term R&D and capital	Intrapreneur
Niche opportunity exploitation	Entrepreneur
Global commercialization	Intrapreneur
Radical business model innovation	Entrepreneur
Complex technology development	Intrapreneur



1101

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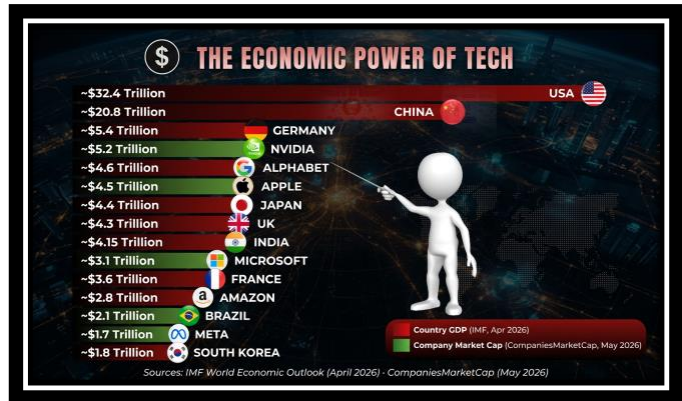
Some subtle observations

1. Most startups fail; entrepreneurs do NOT become successful quickly
2. Intrapreneurs may create bigger innovations than entrepreneurs
3. Entrepreneurs *take* risks; Intrapreneurs *manage* risks
4. Entrepreneurs fight the market; Intrapreneurs fight the organisation
5. Employees often generate more ideas than executives
6. Mega size companies offer resource-rich innovation incubators
7. Large companies kill many good ideas
8. Many entrepreneurs were initially intrapreneurs



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1103

A model for starting up a new venture

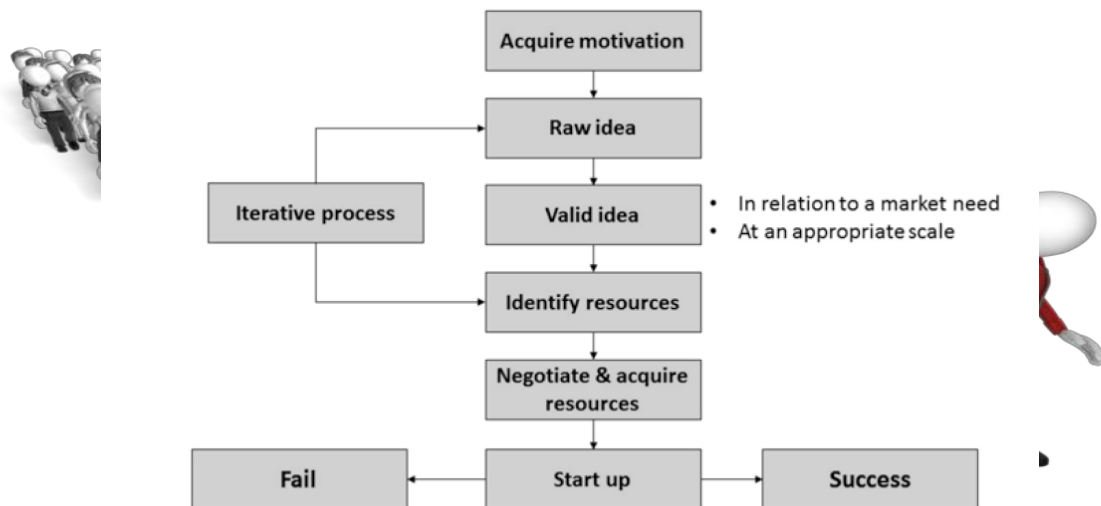


Fig. 3.3 A new venture start-up process model

Source: T. Mazzarol and S. Reboud, *Entrepreneurship and Innovation: Theory, Practice and Context*, 4th Edition, Springer, 2020.

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15/9